

↑ AFFIX SEAL HERE ↑



FORM TP 2009105

CANDIDATE-PLEASE NOTE!

You must sign below and return this booklet with the Answer Sheet. Failure to do so may result in disqualification.

Signature

TEST CODE **01239010**

MAY/JUNE 2009

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

SECONDARY EDUCATION CERTIFICATE
EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 01 – General Proficiency

90 minutes

18 MAY 2009 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 90 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Do not be concerned that the answer sheet provides spaces for more answers than there are items in this test.
4. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
5. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at how it is done in the sample item below.

Sample Item

Prime cost is calculated by adding direct factory expenses to the

Sample Answer

- (A) cost of goods sold
- (B) sale of fixed assets
- (C) sale of finished goods
- (D) cost of materials used



The best answer to this item is “cost of materials used”, so answer space (D) has been shaded.

6. If you want to change your answer, erase it completely before you fill in your new choice.
7. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, omit it and go on to the next one. Your score will be the total number of correct answers.
8. You may use silent non-programmable calculators to answer questions.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2008 Caribbean Examinations Council.®
All rights reserved.

01239010/F2009

- 2 -

1. Which of the following is NOT an accounting transaction?
- (A) Payment of taxes
 - (B) Day to day accumulation of interest
 - (C) Physical wear and tear on machinery and equipment
 - (D) Corresponding with customers and creditors
2. Rent expense which is still owing at the end of the period must be debited in the Profit and Loss Account and shown in the Balance Sheet as a liability. Which accounting concept does this represent?
- (A) Accrual
 - (B) Consistency
 - (C) Going concern
 - (D) Money measurement
3. The term 'book-keeping' can be defined as the recording of a business's
- (A) profits
 - (B) transactions
 - (C) closing stock
 - (D) assets and liabilities
4. Which of the following states the correct order of the stages in the accounting cycle?
- (A) Journalizing, Trial Balance, Posting to Ledger, Final Accounts
 - (B) Journalizing, Posting to Ledger, Trial Balance, Final Accounts
 - (C) Posting to Ledger, Journalizing, Trial Balance, Final Accounts
 - (D) Posting to Ledger, Trial Balance, Journalizing, Final Accounts
5. The working capital of A. Young and Sons is \$15 500, and Current Assets is \$16 500. What is the TOTAL current liabilities?
- (A) \$ 1 000
 - (B) \$15 500
 - (C) \$16 500
 - (D) \$32 000
- Item 6 refers to the following list of balances.
- | | \$ |
|---------------|--------|
| Motor vehicle | 2 000 |
| Creditors | 3 000 |
| Debtors | 2 000 |
| Capital | 11 000 |
| Building | 10 000 |
6. What is the TOTAL of the assets?
- (A) \$12 000
 - (B) \$13 000
 - (C) \$14 000
 - (D) \$15 000
7. How would the purchase of equipment on credit affect a firm's balance sheet?
- (A) Increase Asset; Increase Liability
 - (B) Increase Asset; Decrease Liability
 - (C) Decrease Asset; Increase Liability
 - (D) Decrease Asset; Decrease Liability

GO ON TO THE NEXT PAGE

8. The summarized position of Foster and Scott Limited at March 6, 2009 was as follows:

	\$
Current Liabilities	60 000
Current Assets	100 000
Fixed Assets	200 000
Long Term Liabilities	150 000

What was the capital of Foster and Scott Limited at March 6, 2009?

- (A) \$ 40 000
(B) \$ 90 000
(C) \$150 000
(D) \$190 000
9. A trader received an invoice for \$4 000 less 25% trade discount. Subsequently he returned one eighth $\left(\frac{1}{8}\right)$ of the goods. What amount would be entered in his Returns Outwards Account?
- (A) \$375
(B) \$400
(C) \$450
(D) \$500
10. Which of the following would NOT appear in a Cash Book?
- (A) Sold goods for cheque
(B) Payment for goods
(C) Goods bought for cash
(D) Goods sold on credit

11. Credit notes issued for goods returned by a customer will be entered firstly in the

- (A) Returns Inward Book
(B) Returns Outward Book
(C) Sales Returns and Allowances Account
(D) Purchases Returns and Allowances Account

12. A businessman offers a discount for prompt payment for goods purchased. Under which column in his Triple Column Cash Book would this be entered?

- (A) Bank Column
(B) Cash Column
(C) Discount Allowed Column
(D) Discount Received Column

13. Mr. Harry, a grocer, bought a typewriter on credit from Tan Company. Which of the following journal entries will be made for this transaction in Mr. Harry's books?

- (A) Dr Purchases Account
Cr Tan Account
(B) Dr Typewriter Account
Cr Cash
(C) Dr Tan Account
Cr Purchases Account
(D) Dr Typewriter Account
Cr Tan Company

14. Ram Singh purchased goods valued at \$500 on credit. He paid off his bill within the grace period and received a 10% cash discount. How much did he pay the firm?

- (A) \$ 50
(B) \$450
(C) \$490
(D) \$550

GO ON TO THE NEXT PAGE

- 4 -

15. From which of the following are the balances obtained in preparing the trial balance?
- (A) Ledger
 - (B) Journal
 - (C) Sales Book
 - (D) Purchases Book
16. Which of the following is NOT a nominal account?
- (A) Carriage Inwards
 - (B) Discount Allowed
 - (C) Commission
 - (D) Furniture
17. When a proprietor withdraws cash or other assets from a business, what effect does it have on drawings or capital?
- (A) Capital is decreased.
 - (B) Capital is increased.
 - (C) Drawings are decreased.
 - (D) Neither drawings nor capital is affected.

Item 18 refers to the following information.

Cash Account					
		\$		\$	
(Opening balance)		400.00	May 03, 2007	50.00	
May 01, 2007	Sales	150.00	May 07, 2007	20.00	
May 05, 2007	Sales	75.00	May 09, 2007	150.00	
			(Closing balance)	405.00	
		<u>625.00</u>		<u>625.00</u>	

18. From the account above which of the following figures will be posted to the trial balance?
- (A) 625
 - (B) 405
 - (C) 400
 - (D) 150

GO ON TO THE NEXT PAGE

19. Mr. Abel and Mr. Blue purchased goods on credit to the value of \$50 and \$75 respectively from Mr. Kane. Another customer paid cash for goods amounting to \$550. Mr. Kane took goods at cost for himself amounting to \$500. Which of the following figures represents the balance in Mr. Kane's Sales Account?

(A) \$125
(B) \$425
(C) \$675
(D) \$925

20. A business receives a rent of \$5 000 and deposits this sum into the business's bank account. How will this transaction be recorded?

(A) Dr Bank 5 000 Cr Rent 5 000
(B) Dr Rent 5 000 Cr Bank 5 000
(C) Dr Cash 5 000 Cr Rent 5 000
(D) Dr Rent 5 000 Cr Expense 5 000

21. K. Khan, a debtor of A and B Enterprises, settles his debt of \$120, less 2½ % discount, by cheque. How should the double entry be recorded in the books of A and B Enterprises?

(A) Dr K. Khan \$117
Dr Discount Received \$ 3
Cr Bank \$120

(B) Dr K. Khan \$117
Dr Discount Allowed \$ 3
Cr Bank \$120

(C) Dr Bank \$117
Dr Discount Allowed \$ 3
Cr K. Khan \$120

(D) Dr Bank \$117
Cr Discount Received \$ 3
Cr K. Khan \$120

22. In calculating the Gross Profit Percentage, Gross Profit should be divided by

(A) Cost of Goods Sold
(B) Net Purchases
(C) Net Profit
(D) Net Sales

Items 23 - 25 refer to the following balances of J. Sammy, a sole trader, at the end of the financial period.

	\$
Land	7,000
Building	5,000
Stock	1,100
Debtors	500
Bank overdraft	400
Creditors	700
Cash	200
Capital (at start)	10,000
Drawings	300
Net Profit	3,000

23. Calculate the business's current ratio (rounded to 2 decimal places).

(A) 1.45 : 1
(B) 1.64 : 1
(C) 2.57 : 1
(D) 3.14 : 1

24. Calculate the business's Acid Test Ratio (rounded to 2 decimal places).

(A) 0.64 : 1
(B) 1.57 : 1
(C) 1.64 : 1
(D) 1 : 1

25. Calculate the Return on Capital Employed (ROCE) to the nearest whole number.

(A) 11%
(B) 25%
(C) 28%
(D) 30%

GO ON TO THE NEXT PAGE

- 6 -

26. The following information was extracted from the books of sole trader, J. Kent.

	2004	2005	2006
	\$	\$	\$
Opening Stock (Jan 01)	10 000	14 000	16 000

Based on the information above, the average stock at December 31 is

- (A) increased by \$3 000 in 2005 over 2004
- (B) increased by \$3 000 in 2006 over 2005
- (C) decreased by \$3 000 in 2005 over 2004
- (D) decreased by \$3 000 in 2006 over 2005

27. If total prepaid expenses equal total accrued expenses, then in the Balance Sheet

- I. current assets are unchanged
- II. current liabilities are unchanged
- III. working capital is unchanged
- IV. fixed assets are unchanged

- (A) I and II only
- (B) I and III only
- (C) II and IV only
- (D) III and IV only

28. Depreciation in accounting terms can be defined as

- (A) the increase in value of an asset over time
- (B) cash saved to replace a fixed asset
- (C) the cost of using a fixed asset for an accounting period
- (D) the straight line or reducing balance method used by a business.

Item 29 refers to the following table.

Period of Debt	Amount	Provision for Bad Debts
Over 3 years	\$6 000	3% of Debtors
Over 2 years	\$4 000	2% of Debtors
Over 1 year	\$8 000	1% of Debtors

29. What is the TOTAL provision for bad debts for the year?

- (A) \$ 180
- (B) \$ 340
- (C) \$ 400
- (D) \$ 500

GO ON TO THE NEXT PAGE

- 7 -

30. A company received \$1 000 in advance for goods they are to supply to the customer two months from that date. The \$1 000 will be shown in the balance sheet under

(A) current assets as a prepayment
(B) current liabilities as an accrual
(C) current assets as unearned revenue
(D) current liabilities as unearned revenue

31. Machinery was purchased for \$164 000. Its useful life is 8 years and its disposal value is \$16 000. It is depreciated using the straight line method.

What is the Net Book value of the asset after 3 years?

(A) \$ 55 500
(B) \$102 500
(C) \$108 500
(D) \$145 500

32. Control accounts are kept in order to assist management in

(A) locating errors
(B) limiting drawings
(C) increasing profits
(D) limiting expenditure

33. A standing order of \$25 for insurance appears in the debit column of the bank statement. This amount does not appear in the Cash Book. How is this item treated in order to update the Cash Book?

(A) Subtract the \$25 from the bank statement balance.
(B) Add \$25 to the bank statement balance.
(C) Credit the bank account with \$25.
(D) Debit the bank account with \$25.

Item 34 refers to the following information.

V. Jones	\$
Net Pay	1 200
Income Tax	300
National Insurance	50

34. What is Mr Jones' gross pay?

(A) \$ 850
(B) \$ 950
(C) \$1 450
(D) \$1 550

35. A bookkeeper, by mistake, posted \$64.00 to the Sales Account instead of \$54.40. Which of the following entries in the General Journal would correct the mistake?

I. Dr Sales A/C
II. Cr Sales A/C
III. Dr Suspense A/C
IV. Cr Suspense A/C

(A) I and II only
(B) I and III only
(C) I and IV only
(D) II and III only

36. At the start of the financial year, a trader has creditors of \$3 200. He paid cash of \$14 900 to them during the year, and at the end of the year the balance of his debt was \$2 800. What was the trader's total credit purchases for the year?

(A) \$12 100
(B) \$14 500
(C) \$15 300
(D) \$17 700

GO ON TO THE NEXT PAGE

- 8 -

37. Mr. Smith does not keep proper records. He began business with \$10 000 in the business bank account. He uses his vehicle and building worth \$6 000 and \$15 000 respectively as part of his business. Customers owe him \$4 000. He withdrew \$1 500 for personal use and owed creditors n \$2 000.

What is the closing capital of the business?

- (A) \$25 500
(B) \$28 500
(C) \$31 500
(D) \$33 000

Item 38 refers to the following information provided by a trader.

	\$
Debtors at start of the year	8 200
Cash received from debtors during year	17 400
Debtors at end of the year	9 300

38. What was the amount of his credit sales for the year?

- (A) \$16 300
(B) \$18 500
(C) \$25 600
(D) \$26 700

Item 39 refers to the following information.

Mohammed Patel
Statement of Affairs
As at December 31, 2006

	\$		\$	\$
Fixed assets	2 500	Capital at beginning	3 000	
Current assets	3 000	+ Net profit	?	
		- Drawings	(300)	
		Capital at end		?
		Liabilities		1 500
	<u>5 500</u>			<u>5 500</u>

39. What is Patel's net profit for the year?

- (A) \$1 300
(B) \$1 500
(C) \$1 600
(D) \$1 800

GO ON TO THE NEXT PAGE

- 9 -

40. Mr A. Jones paid \$250.00 cash for repairs to machinery. This transaction was entered in the Cash Book and posted to the Ledger. The double entry involved would be

- (A) debit Cash A/C
credit Repairs A/C
- (B) debit Cash A/C
credit Machinery A/C
- (C) debit Repairs A/C
credit Cash A/C
- (D) debit A. Jones A/C
credit Cash A/C

41. Tom, Percy and John formed a partnership and agreed that profits were to be shared in the ratio 1:1:2 respectively. The net profit for the year was \$18 900. What was John's share of the profit?

- (A) \$ 4 725
- (B) \$ 9 450
- (C) \$14 175
- (D) \$18 900

42. The table below shows how R & H Winsome have combined their interests into a partnership.

Capital R. Winsome	\$60 000
Capital H. Winsome	\$30 000

Interest on capital was agreed at 5% per annum. What is the TOTAL amount of interest on capital earned by the partners?

- (A) \$1 500
- (B) \$2 500
- (C) \$3 000
- (D) \$4 500

43. W, X, Y and Z are partners sharing profits and losses in proportion to their capital. The capital of each partner is shown in the table below.

W's Capital	\$300
X's Capital	\$200
Y's Capital	\$100
Z's Capital	\$300

What is Z's share of a profit of \$7 200?

- (A) \$ 800
- (B) \$1 200
- (C) \$1 800
- (D) \$2 400

44. Profits of \$2 400 have been shared in equal proportions between two partners, Debbie and Andrea. Andrea, however, should only have received 40%. What must be the correcting entries in the partnership books?

- | | | | | |
|-----|----------------------|-------|-----------------|-------|
| (A) | Dr Andrea's A/C | \$960 | Cr Debbie's A/C | \$960 |
| (B) | Dr Andrea's A/C | \$240 | Cr Debbie's A/C | \$240 |
| (C) | Dr Appropriation A/C | \$960 | Cr Andrea's A/C | \$960 |
| (D) | Dr Debbie's A/C | \$240 | Cr Andrea's A/C | \$240 |

GO ON TO THE NEXT PAGE

45. What is the name of the document that is usually under a company's seal and which acknowledges a loan to the company at a fixed rate of interest?

(A) Stock
(B) Mortgage
(C) Debenture
(D) Memorandum

46. A public limited company issued a prospectus offering the shares described in the table below, for sale at par value.

Types of share	No. of Units	Par Value
Ordinary	20 000	\$2.00
5% Preference	10 000	\$5.00

The issue was fully subscribed. How much capital did the company raise?

(A) \$ 30 000
(B) \$ 40 000
(C) \$ 50 000
(D) \$ 90 000

47. A company is allowed by law to sell 100 000 shares at \$1.00 EACH. Half of these shares were bought by the public.

What is the authorized capital?

(A) \$100 000
(B) \$ 80 000
(C) \$ 50 000
(D) \$ 40 000

48. A company declares a dividend of 15%. What is the value of the dividend warrant sent to the shareholder who owns 1 500 one dollar ordinary shares?

(A) \$ 100
(B) \$ 225
(C) \$1 500
(D) \$1 515

49. In a co-operative society, the daily affairs are administered by

(A) the majority of shareholders
(B) all members meeting together
(C) the chairman of the board only
(D) persons elected or appointed to do so

50. The MAIN objective of co-operatives is to

(A) settle disputes
(B) maximize profits
(C) provide goods and services
(D) maximize the welfare of members

51. In a non-profit-making organization, the excess of the income over the expenditure is called

(A) surplus
(B) net profit
(C) gross profit
(D) accumulated fund

52. Charity-Is-We, a non-trading organization, hired an accountant to prepare a statement showing all its expenses and revenues. The statement to be prepared is called the

(A) profit and loss
(B) revenue and capital
(C) receipts and payments
(D) income and expenditure

53. The following information relates to Harvard Sports Club for 2008.

Number of members	50
Annual subscriptions	\$ 50
Subscriptions owing at the beginning of the year	\$450
Subscriptions owing at the end of the year	\$150

How much should be credited to the Club's Income and Expenditure Account as TOTAL subscription for the year?

- (A) \$ 450
- (B) \$1 500
- (C) \$1 950
- (D) \$2 500

54. The following information relates to the Funloving Cultural Club.

	\$
Accumulated funds January 01, 2008	3 000
Operating Expenses	1 000
Income from Barbeque	5 000
Income from Subscription	1 000
Income from Garage Sale	3 000

What is the organization's accumulated fund at the end of the year?

- (A) \$ 9 000
- (B) \$11 000
- (C) \$12 000
- (D) \$13 000

- Item 55 refers to the following information.

	\$
Opening inventory of raw materials	500
Purchases	2 000
Closing inventory of raw materials	1 000
Direct labour	3 000
Factory overheads	4 500
Opening inventory of work in progress	2 000
Closing inventory of work in progress	3 000

55. From the above information, what is the cost of goods manufactured?

- (A) \$ 7 000
- (B) \$ 8 000
- (C) \$ 9 000
- (D) \$11 000

Items 56 - 58 refer to the following information.

J. Baynes Manufacturing Account for period ending Dec 31, 2008

	\$		\$
Inventory of raw materials January 01, 2008	800		
Purchases of raw materials during year	<u>4 500</u>	Bal. c/d	6 800
	5 300		
Less closing inventory of raw materials December 31, 2008	<u>1 400</u>		
	3 900		
Productive wages	1 300		
Fuel and power	900		
Lubricants	100		
Rent and rates	400		
Insurance	<u>200</u>		
	<u>6 800</u>		<u>6 800</u>

56. What is the cost of raw materials available for production?

- (A) \$ 800
- (B) \$3 900
- (C) \$4 500
- (D) \$5 300

57. What is the prime cost?

- (A) \$3 900
- (B) \$5 200
- (C) \$5 300
- (D) \$6 800

58. What is the cost of raw materials consumed?

- (A) \$ 800
- (B) \$1 200
- (C) \$3 900
- (D) \$4 500

59. A company pays \$4 per hour for a 40-hour week and time and a half for overtime. An employee worked 45 hours for a week. What is his gross weekly wage?

- (A) \$180
- (B) \$190
- (C) \$240
- (D) \$270

60. P. Amos is employed by a construction company at a rate of \$7 per hour. During the week of April 6, he worked his basic week of 40 hours. The income tax due on his pay is \$20, and he is also liable to pay social security contributions of 5% of his gross pay. What is his net pay?

- (A) \$246
- (B) \$260
- (C) \$266
- (D) \$280

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.